MCQS

ECO603 midterm preparation file

ZB

بسم الله الرحمن الرحيم

In the name of God , Most Gracious, Most merciful

# ECO603

# MCQS

1. Which of the following is a characteristic of a perfectly competitive market?

a) Product differentiation

b) Free entry and exit of firms

c) Monopolistic pricing

d) Government regulations

Answer: b) Free entry and exit of firms

2. In a monopoly, the firm's marginal revenue curve is:

a) Above the demand curve

b) The same as the demand curve

c) Below the demand curve

d) Vertical

Answer: c) Below the demand curve

3. The law of demand states that, other things being equal, as the price of a good increases, the quantity demanded:

a) Increases

b) Decreases

c) Stays the same

d) Fluctuates

Answer: b) Decreases

4. Which of the following is the best example of a public good?

a) A private car

b) National defense

c) A restaurant meal

d) A movie ticket

Answer: b) National defense

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5. The marginal cost curve intersects the average total cost curve at the:

a) Minimum of the average variable cost curve

b) Maximum of the average total cost curve

c) Minimum of the average total cost curve

d) Maximum of the marginal cost curve

Answer: c) Minimum of the average total cost curve

6. Which of the following is true for monopolistic competition?

a) Firms sell identical products

b) There are barriers to entry

c) There is product differentiation

d) Firms are price takers

Answer: c) There is product differentiation

7. The elasticity of demand measures the:

a) Change in quantity supplied

b) Responsiveness of quantity demanded to changes in income

c) Responsiveness of quantity demanded to changes in price

d) Change in price with respect to changes in demand

Answer: c) Responsiveness of quantity demanded to changes in price

8. In the short run, a firm's total cost is equal to:

a) Fixed cost plus variable cost

b) Variable cost plus marginal cost

c) Total revenue minus fixed costs

d) Total revenue minus total variable costs

Answer: a) Fixed cost plus variable cost

9. Which of the following is an example of a negative externality?

a) Education

b) Pollution

c) Public parks

d) Vaccinations

Answer: b) Pollution

10. If a firm is producing at a point where marginal cost equals marginal revenue, it is:

a) Maximizing profit

b) Minimizing cost

c) Breaking even

d) Experiencing losses

Answer: a) Maximizing profit

11. A Giffen good is a type of inferior good for which an increase in price leads to an increase in quantity demanded. This violates:

a) The law of supply

b) The law of demand

c) The principle of diminishing returns

d) The law of diminishing marginal utility

Answer: b) The law of demand

12. Which market structure is characterized by a few firms that dominate the market and have the ability to set prices?

a) Perfect competition

b) Monopoly

c) Oligopoly

d) Monopolistic competition

Answer: c) Oligopoly

13. The income elasticity of demand is calculated by:

a) (Change in quantity demanded) / (Change in income)

b) (Change in price) / (Change in income)

c) (Change in income) / (Change in price)

d) (Change in quantity demanded) / (Original quantity demanded)

Answer: a) (Change in quantity demanded) / (Change in income)

14. In a perfectly competitive market, firms produce at the point where:

a) Marginal cost equals average total cost

b) Price equals marginal revenue

c) Marginal cost equals marginal revenue

d) Total cost equals total revenue

Answer: c) Marginal cost equals marginal revenue

15. Which of the following is a feature of an oligopolistic market?

a) A single seller dominates the market

b) Many firms with identical products

c) Few firms with differentiated or identical products

d) Firms are price takers

Answer: c) Few firms with differentiated or identical products

16. The cross-price elasticity of demand between two goods is positive. This indicates that the goods are:

a) Substitutes

b) Complements

c) Inferior goods

d) Normal goods

Answer: a) Substitutes

17. If the price elasticity of demand for a good is greater than 1, the demand for the good is:

a) Elastic

b) Inelastic

c) Unitary

d) Perfectly inelastic

Answer: a) Elastic

18. A market failure occurs when:

a) Markets operate efficiently

b) Resources are allocated inefficiently

c) Supply exceeds demand

d) Demand exceeds supply

Answer: b) Resources are allocated inefficiently

19. In the long run, firms in a perfectly competitive market will produce where:

a) Marginal cost equals marginal revenue

b) Price equals marginal cost

c) Price equals average total cost

d) Price equals marginal revenue

Answer: c) Price equals average total cost

20. Which of the following is NOT a characteristic of monopolistic competition?

a) Product differentiation

b) Many sellers

c) Barriers to entry

d) Some control over price

Answer: c) Barriers to entry

21. A firm in perfect competition will shut down in the short run if:

a) Its average total cost exceeds its price

b) Its marginal revenue exceeds its average total cost

c) Its total cost is greater than total revenue

d) Its fixed costs exceed its total revenue

Answer: c) Its total cost is greater than total revenue

22. Which of the following is true in the case of a natural monopoly?

a) It is more efficient for multiple firms to produce the good

b) It has high fixed costs and low marginal costs

c) There are no barriers to entry

d) It produces a homogenous product

Answer: b) It has high fixed costs and low marginal costs

23. When a monopolist maximizes profit, it produces at the point where:

a) Marginal cost equals average total cost

b) Marginal revenue equals marginal cost

c) Total revenue equals total cost

d) Average cost equals price

Answer: b) Marginal revenue equals marginal cost

24. If the price of a substitute good increases, the demand for the original good will:

a) Decrease

b) Increase

c) Remain unchanged

d) Be unaffected

Answer: b) Increase

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25. The marginal revenue product of labor is:

a) The additional revenue generated from hiring one more unit of labor

b) The total revenue from all labor inputs

c) The difference between total product and total cost

d) The wage rate paid to workers

Answer: a) The additional revenue generated from hiring one more unit of labor

26. If the government imposes a price ceiling below the equilibrium price, it will likely result in:

a) A surplus

b) A shortage

c) An increase in supply

d) No change in the market

Answer: b) A shortage

27. A firm that faces a perfectly elastic demand curve:

a) Can increase its price without losing customers

b) Must accept the market price

c) Can set its price independently of the market

d) Is a monopolist

Answer: b) Must accept the market price

28. In a competitive market, the demand curve is:

a) Vertical

b) Horizontal

c) Downward sloping

d) Upward sloping

Answer: c) Downward sloping

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29. Which of the following is a characteristic of an oligopoly?

a) Free entry and exit

b) Identical products

c) Interdependence among firms

d) No market power

Answer: c) Interdependence among firms

30. In the short run, firms in a perfectly competitive market may:

a) Earn positive economic profits

b) Always earn negative economic profits

c) Only earn zero economic profits

d) Earn no profit or loss

Answer: a) Earn positive economic profits

31. The shutdown point is the point where:

a) Price equals average variable cost

b) Marginal cost equals average total cost

c) Total cost equals total revenue

d) Price equals marginal revenue

Answer: a) Price equals average variable cost

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33. Which of the following is a feature of a monopoly market structure?
a) Many sellers
b) No barriers to entry
c) A single seller dominates the market
d) Homogeneous product
Answer: c) A single seller dominates the market

34. In the long run, if firms in a perfectly competitive market are earning economic profits, this will lead to:
a) An increase in the number of firms in the market
b) A decrease in the supply of the product
c) A decrease in the demand for the product
d) A reduction in the total market output
Answer: a) An increase in the number of firms in the market

35. The price elasticity of supply measures:
a) How quantity supplied changes in response to price changes
b) How quantity demanded changes in response to income changes
c) The responsiveness of price to changes in demand
d) The percentage change in supply due to income change
Answer: a) How quantity supplied changes in response to price changes

36. Which of the following occurs when the price of a good decreases and the demand curve shifts to the right?
a) The good is a Giffen good
b) The good is a Veblen good
c) The good is a normal good
d) The good is an inferior good
Answer: c) The good is a normal good

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**37. A price floor is set above the equilibrium price. The likely result is:**

**a) A shortage**

**b) A surplus**

**c) An efficient market**

**d) A decrease in demand**

**Answer: b) A surplus**

**38. Which of the following is an example of a positive externality?**

**a) Smoking**

**b) Pollution**

**c) Education**

**d) Traffic congestion**

**Answer: c) Education**

**39. When a firm produces at the level where marginal cost equals average total cost, it is:**

**a) Maximizing profits**

**b) Minimizing costs**

**c) Operating at a loss**

**d) Operating at the break-even point**

**Answer: d) Operating at the break-even point**

**40. The marginal cost curve intersects the average variable cost curve at the:**

**a) Minimum of the average total cost curve**

**b) Maximum of the average variable cost curve**

**c) Minimum of the average variable cost curve**

**d) Maximum of the marginal cost curve**

**Answer: c) Minimum of the average variable cost curve**

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41. In the long run, a perfectly competitive firm earns: a) Positive economic profits
b) Zero economic profits
c) Negative economic profits
d) Increasing profits as output rises
Answer: b) Zero economic profits

42. The deadweight loss from a monopoly is the:
a) Loss of consumer surplus
b) Loss of producer surplus
c) Loss in total welfare due to inefficient production and pricing
d) Increase in government revenue
Answer: c) Loss in total welfare due to inefficient production and pricing

43. Which of the following is true about oligopolies?
a) Firms in an oligopoly compete by producing identical products
b) Barriers to entry are typically high
c) There is no interdependence between firms
d) Firms in an oligopoly are price takers
Answer: b) Barriers to entry are typically high

44. The income effect refers to the change in the quantity demanded of a good resulting from:
a) A change in the price of the good
b) A change in the consumer's income
c) A change in the price of a substitute good
d) A change in the consumer's taste
Answer: b) A change in the consumer's income

45. A firm is experiencing diminishing returns to labor when:

a) Total output increases at an increasing rate

b) Marginal product of labor is rising

c) The marginal product of labor decreases as more labor is added

d) The total product curve slopes downward

Answer: c) The marginal product of labor decreases as more labor is added

46. In which type of market does a firm have the most control over its price?

a) Perfect competition

b) Monopolistic competition

c) Monopoly

d) Oligopoly

Answer: c) Monopoly

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## Passing criteria of this course

| Letter Grade | Grade Points | Equivalent Percentage |
|---|---|---|
| A+ | 4.00 | 90-100 |
| A | 4.00 | 85-89 |
| A- | 3.66 - 3.99 | 80-84 |
| B+ | 3.33 - 3.65 | 75-79 |
| B | 3.00 - 3.32 | 71-74 |
| B- | 2.66 - 2.99 | 68-70 |
| C | 2.00 - 2.65 | 61-67 |
| D | 1.00 - 1.99 | 50-60 |
| F | 0.00 | 00-49 |

## Passing Criteria for a Course:

**The passing criteria is defined in such a way that it ensures the student shall be consistent in his studies throughout the semester.**
**Therefore, for passing a course/subject, student shall fulfill the following:**
**a) Secure minimum 20% score in Formative Assessments/Mid terms**
**b) Secure minimum 20% score in Final Term Examinations.**
**c) Secure at least 40% marks in aggregate while fulfilling the above requirements**

## Course Selection and Credit Hours

**Q: How do I select courses when the course selection is open?**
**A: Follow these steps:**
**1. Check the credit hours allowed by your university (e.g., 21, 18, or 15 credit hours).**
**2. Each subject typically has 3 credit hours.**
**3. Divide the total allowed credit hours by 3 to determine how many subjects you can select.**
**Examples:**
**21 credit hours = 7 su18 credit hours = 6 subjects**
**15 credit hours = 5 subjects**
**Remember, the university may allow different credit hours for each student, so check your specific allowance.**
**By following these steps, you can make informed decisions during course selection and manage your credit hours effectively.**

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# Advice

**Hmaesha relax ho ke parha kryn panic mat hua kryn apky parents ky bohat khawab hoty hn wo pura krny ki puri koshish kea kryn kbi b ksi pe depend na kea kryn apko bs ak insan success kr saqta ha or wo insan ap khud hn apky elawa koi nahe ap bs koshish kryn Allah pak pe strong yakeen rakha kryn or mehnat krke sb Allah ke hawaly kr dea kryn everything is possible be brave be strong stay blessed**
**Hum insan hamesha moat se darty or bhagty hn or moat se bachny ki koshish krty hn jabke moat ny ana hi ana ha hum**

moat se nahe bach saqty humy jahanam se bachny ki koshish krni chaheay hum jahanam se bach saqty hn
Insan ko 3 chezo se dar lagta ha Moat Risk/Dolat Ezat Shohrat Fame

# Moat

Humy pta hona chaheay Moat tab ani ha jab Allah chahy us se pehly puri dunya bi ak tararf ho ke apko marna chahy to apka kuch nahe beggar saqti

# Risk/Dolat

Risk Dolat sb Allah pak ke hath m ha puri dunya ak taraf b ho jay na apsy apka risk cheen saqti ha na de saqti ha Ye sirf ALLAh pak ky hath m ha

# Izat Zilat shohrat Fame

Izat Zilat Sirf Allah de saqty hn puri dunya mel ke b apko zra brabr b demage nahe kr saqti Agr ALLAH

Apko izat dena chahay to puri dunya ak tararf ho ke b apko 1% b nuksan nahe pohancha saqti
Phr Dar ks bat ka ??????????????
Be brave be strong Just put your trust To ALLAH
Hamesha Confident or himat se raho kbi ksi k samne mat jhuko puri dunya mel k b apka kuch b nahe beggar saqti

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# MY REQUEST FROM ALL OF YOU

**ZB Request from All of you My family**
**Mjy ap sbki help or support ki zarort ha or wo ye k hum sb Mel kr Allah ka Quran ki Urdu translation logo tak pohanchy or Quran ko samjna asaaan kryn dosro k leay sb tak Allah ka Quran pohanchy it's my compaign hum log 70+ age k ho jaty hn phr b hmy namaz tak ki translation nahe pta hoti k hum Allah pak se**

**Kya Dua kr rhy hn so hum youngster's ko Mel kr puri takat or energy ke sath Allah ka Quran spread krna ha**
**Hum puri Koshish kr rhy hn k hum sb Mel k Quran ki translation or most important topics ko maximum share kry with translation hmara maksad Quran ko spread krna ha be a part of us**
**m apni pocket se ye sb kr rha ho Allah ka Quran spread krny k leay apne or mene sbny Marna ha ak din to q na Allah k leay Kuch kryn apni energies apni power ko bajay negative use krny k Allah k leay invest kryn khud ko be a part of us**
**Agr m 23 ki age m apny sare sources use kr rha ho pocket se heavy amounts give away kr rha ho Quran spread krny k leay to ap just share to kr saqty hn itna e krdyn**

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**ZB**
**Agr ap mujsy contact na kr sky too b ap jo b hn jaha bi hn waha Allah ka quran pheelay zada se zada with urdu translation jitni himat ha utna share kryn**

## MY Family

ust Relax and focus! Exams are not difficult. Put in your 100% effort and trust in Allah.

## AL-Quran

"And indeed, with hardship comes ease." (Quran 94:5)
Remember, I'm here to support you! Stay brave and strong!"

# May Allah bless you